

Private Market Deal Report

PRIVATE EQUITY

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Industry Landscape

Overview: The pet industry market size is projected to grow from \$320 billion in 2023 to \$500 billion by 2030. The US is positioned to remain the largest pet market, growing due to increased pet adoption since the COVID-19 pandemic.

Capabilities: Healthcare improvements in the pet pharmaceutical market contribute to increased animal longevity, which may lead to an increase of the US pet population by 13%.

Risks: Potential supply chain issues can disrupt the availability and cost of pet products. Concerns about the health and safety of pet products may also undermine consumer confidence, potentially slowing market growth.

Target Profile

Rover Group Inc is an online marketplace for pet care. Rover generates revenue by facilitating the connection between pet care providers and pet parents.

The user-based platform extends across the U.S., Canada, the U.K., Spain, France, Norway, Sweden, Netherlands, Italy and Germany.

For pet care providers, the company built tools to easily create a listing in the marketplace along with simple tools for scheduling and booking care, communicating with pet parents, and receiving payment

Target Post Vision

Rover plans to continue investing in its business to make it possible for everyone to afford a pet and the expensive costs associated with pet care

This transaction delivers immediate value to Rover stockholders, demonstrating the companies commitment to quality of service but also financial success

Deal Structure

Overview: Blackstone acquires Rover for \$2.3B in an all cash deal, representing \$11.00 in cash per share

Rover Advisors: Goldman Sachs & Co. LLC acted as lead financial advisor to Rover. Centerview Partners LLC also acted as a financial advisor to Rover, delivering a fairness opinion to Rover's Board of Directors with respect to the proposed transaction

Blackstone Advisors: Evercore acted as lead financial advisor, and Moelis & Company LLC also acted as a financial advisor to Blackstone

Investor Profile

Blackstone: \$1 trillion AUM, the world's largest alternative asset manager

- Generated \$327 billion in gains for investors
- Over 100 million clients globally
- Serve institutional and individual investors
- 12,500 real estate assets and 230+ portfolio companies

Investment Post Vision

Blackstone brings deep expertise in partnering with innovative technology companies

Highlights Blackstone's high-conviction focus on backing rapidly growing digital businesses and supporting talented entrepreneurs with extensive resources to take advantage of transformational growth opportunities

Blackstone's investment aims to help enable Rover to further accelerate investment priorities, expand its global footprint, and fuel expansion initiatives.

Analyst Statement

Blackstone's buyout of Rover adds to their history of partnering with innovative technology companies and to their massive portfolio of assets under management. This transaction delivers immediate value to shareholders of Rover, and future value as Rover will have access to Blackstone's resources and expertise. The investment plays to the larger theme of a growing pet services market as younger generations come to pet-owning age.

North America Pet Care Market Size, 2019-2032 (USD Billion)

